

Additional security under clause 4.20 — writ dismissed following Dev Prayag

Allahabad High Court · Division Bench · 4 August 2025 · 2025:AHC:131348-DB · Writ-C No. 29566 of 2014 · **Writ dismissed; additional-security demand under clause 4.20 not bad.**

HEADNOTE

A consumer challenged Dakshinanchal Vidyut Vitran Nigam Ltd.'s 12.05.2014 demand for additional security, attributed to clause 4.20 of the U.P. Electricity Supply Code, 2005. After a 2014 interim restraint, a Division Bench dismissed the writ in 2025, following *M/s Dev Prayag Paper Mill (Pvt.) v. State of U.P.* (Writ-C No. 30898 of 2016, 21.03.2017), which held that a distribution licensee's demand of additional security is not bad.

FACTUAL SUMMARY

M/s Jai Hanuman Rice Mill (computer-corrected to M/s Jai Hanuman Chawal Udyog) received from Dakshinanchal Vidyut Vitran Nigam Ltd. a 12.05.2014 demand for additional security, said to be under clause 4.20 of the U.P. Electricity Supply Code, 2005. It sought quashing of that notice, relying on an interim order in *Supreme Ceramics* (W.P. No. 51844 of 2009). On 27.05.2014 the Court connected the matter with W.P. (C) No. 51884 of 2009 and restrained the additional-security demand until further orders; the petitioner's name was later corrected.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.20

additional security

HOLDING

A writ seeking to quash a distribution licensee's demand of additional security under clause 4.20 of the U.P. Electricity Supply Code, 2005 stands dismissed on the reasoning in *Dev Prayag Paper Mill*: such a demand is not bad. ¶ 1

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>M/s Dev Prayag Paper Mill (Pvt.) v. State of U.P.</i> Writ-C No. 30898 of 2016 (21 March 2017)			1	Referred
<i>M/s Supreme Ceramics Limited v. Paschimanchal Vidyut Vitran Nigam Ltd.</i> Writ Petition No. 51844 of 2009 (order dated 7.10.2009)			2014 interim	Referred